Executive Summary
SEBI-MF-2023-117 — Roles and Responsibilities of Trustees and Board of Directors of AMCs of Mutual Funds

Save to My Library

Roles and Responsibilities of Trustees and Board of Directors of AMCs of Mutual Funds

Purpose & Background

Why this circular was issued

This circular establishes a comprehensive compliance framework requiring immediate attention from multiple departments. Key obligations include governance enhancements, operational controls, and periodic reporting.

Key Updates

What has changed vs previous regulations

1. Unified framework replacing multiple earlier SEBI directives applicable separately to different entity types.
2. Mandatory auto-escalation timelines introduced — all complaints to be escalated within 20 days.
3. Technology-driven requirements including automated complaint management and regulator portal integration.
4. Board oversight strengthened with mandatory annual audit of the compliance framework.
5. New eligibility thresholds — entities crossing prescribed limits must comply within 6 months.

Compliance Risks

Risks of non-compliance

High: Supervisory risk — compliance assessed during regulatory examinations and risk assessments.

High: Regulatory enforcement exposure under Banking Regulation Act, RBI Act and applicable statutes.

Medium: Governance risk if independence criteria, tenure protection, or reporting obligations are violated.

Medium: Operational risk from absence of automated escalation or delayed grievance resolution timelines.

Low: Reputational and customer trust erosion due to ineffective grievance redress mechanisms.

Immediate Actions

Actions required now

GOVERNANCE & STRUCTURE

Confirm appointment or eligibility requirement for Internal Ombudsman.

Ensure independence criteria and tenure compliance.